

In such a scenario, it is difficult to see how these funds will be able to keep attracting investors if they keep charging such high fees.

Costs dictate the flows

The Americans were the first to fall in love with passive funds

In America, investors seem to be totally convinced about the ‘Alpha Squeeze’ and the need for low-expense ratios. In the calendar year 2016, active funds in the US saw a net outflow of \$326 billion compared to passive funds which reported a net inflow of \$429 billion.

This shift has not been one-off. In fact, in the last ten calendar years from 2007–16, only twice (2009, 2010) has the active funds inflow been more than passive funds. According to Morningstar, four out of these last ten years have seen net outflow from active funds.

Even within active funds, the outflow is not uniform. American investors have taken out the maximum monies from high-cost funds. According to Morningstar, if we were to divide the active funds into two categories—the cheapest 20 per cent and the remaining 80 per cent then, from year 2007 to 2016, the cheapest 20 per cent have seen net outflows only once while the remaining 80 per cent have seen net outflows on six out of ten occasions.

Thanks to these tectonic shifts in investor preference, passive funds have gained significant AUM from active funds. From less than 10 per cent at the turn of the century, passive funds today command 37 per cent of the total fund industry AUM in the US. Morningstar estimates that passive funds’ AUM will be close to 50 per cent or half of industry assets by CY 2021.

Developments in India

In the 1990s and 2000s, the trend of upfront commission¹³ and upfront of trail commission to intermediaries accelerated. This not only reduced